25900304 **A**

Reg.No : .....

Name : .....

MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (HONOURS) Regular EXAMINATION October 2025

Third SEMESTER

Discipline Specific Elective (DSE) - MG3DSECOM201 - FUNDAMENTALS OF CO-OPERATION

(2024 ADMISSION ONWARDS)

Duration: 1 Hour 15 Minutes **Maximum Marks: 70**

Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation(Ap)

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A

MCQ Questions

Answer any **20** questions

Each question carries **1** marks

1. The principle of “one member, one vote” is a feature of [U] / [CO1]

   a). Joint Stock Company b). Partnership

   c). Co-operative Organization d). Sole Proprietorship

2. What is the main objective of the "Service Motto" principle? [U] / [CO2]

   a). To prioritize profit generation b). To serve its members.

   c). To compete with other businesses d). To secure government funding

3. Which year MATSYAFED was established ? [An] / [CO3]

   a). 1972 b). 1974

   c). 1982 d). 1984

4. The first successful consumer co-operative society in Great Britain was established at: [U] / [CO4]

   a). Rochdale b). Manchester

   c). London d). Birmingham

5. The main aim of workers' co-operative societies is: [U] / [CO3]

   a). Maximizing profits of investors b). Importing machinery for industries

   c). Providing employment and fair wages to members d). Eliminating trade unions

6. One of the social benefits of co-operation is [U] / [CO1]

   a). Increased inequality b). Class conflicts

   c). Promotion of equality and democracy d). Monopolistic practices

7. Information regarding the co-operative's financial status and decision-making processes should be made readily available to members under ---------- principle [U] / [CO2]

   a). Member Economic Participation b). Democratic Member Control

   c). Education, Training, and Information d). Principle of Thrift

8. At what level do PCARDBs typically operate? [U] / [CO3]

   a). State level b). District or block level

   c). National level d). Village level

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   a). Rural Development Scheme b). Farm Credit System

   c). Agricultural Subsidy Act d). National Farming Policy

10. Who owns Dairy Co operatives? [An] / [CO3]

    a). Government b). Private Investors

    c). Members d). Foreign investors

11. Which of the following is NOT a characteristic of a co-operative [U] / [CO1]

a). Voluntary membership
b). Democratic management
c). Profit maximization for few
d). Service motive

12. The Ethical Framework scope establishes a moral guideline for ---------- -- [U] / [CO2]

a). governance
b). operations
c). relations
d). activities

13. The apex body of coir co-operatives in Kerala is: [U] / [CO3]

a). HANTEX
b). COIRFED
c). MILMA
d). NAFED

14. The democratic control of employees credit societies ensures that: [U] / [CO3]

a). Only rich members can vote
b). Decisions are made by external agencies
c). All members have equal say in management
d). Votes are sold to the highest bidder

15. Which of the following is NOT a source of PACS funds? [An] / [CO3]

a). Share Capital
b). Deposits
c). Grants
d). Entertainment tax

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a). Only financial support to members
b). Supporting each other only during elections
c). Members supporting each other in times of need and fostering community sprit
d). Ignoring social responsibility

17. Dr. D. G. Karve defines co-operative principles as rules framed to -------- and --------- [U] / [CO2]

a). achieve the objectives of the co-operative movement and to Maximize profit
b). achieve the objectives of the co-operative movement and to Restrict membership
c). achieve the objectives of the co-operative movement and to Regulate co-operative organizations
d). achieve the objectives of the co-operative movement and to Create new markets

18. which of the following is NOT a form of deposit accepted by SCBs? [U] / [CO3]

a). Savings accounts b). Current account

c). Investment account d). Fixed Deposit

19. KF played a leading role in Sweden's economy by: [U] / [CO4]

a). Controlling retail trade and wholesale distribution b). Managing the nationalized industries

c). Acting as a trade union federation d). Becoming a political party

20. Converting raw milk into ghee and cheese is an example of: [An] / [CO3]

a). Market access b). Food security

c). Value addition d). Rural entrepreneurship

21. Which factor distinguishes co-operative societies from other business models? [U] / [CO1]

a). Democratic method and shared values b). Monopoly in market

c). Government ownership d). Focus on Profit Making

22. Which one describes the nature of Co-operative Principles? [U] / [CO2]

a). Abstract concepts embodying the spirit of co-operation b). Core beliefs that define why co-operatives exist

c). Practical methodologies for operational practices d). Focus on the moral and ethical dimensions

[1x20 = 20]

Part B

MCQ Questions

Answer any **25** questions

Each question carries **2** marks

23. Employees Credit Societies are also referred to as: [U] / [CO3]

a). Cooperative banks. b). Labour banks.

c). Industrial societies. d). Thrift banks

24. What type of co-operatives were most prevalent in rural China? [U] / [CO4]

a). Consumer co-operatives b). Producer co-operatives

c). Agricultural co-operatives d). Urban co-operatives

25. Consider the following statements and choose the most appropriate alternative. Statement I – Urban Cooperative Banks primarily provide banking services to small traders, businesses, and salaried employees in urban and semi-urban areas. Statement II – UCBs are mainly focused on offering agricultural credit in rural villages. [U] / [CO3]

a). Both statements are true b). Statement I is true and Statement II is false

c). Statement I is false and Statement II is true d). Both statements are false

26. Which of the following is NOT a characteristic of a co-operative society? [U] / [CO1]

a). Democratic management b). Profit motive

c). Voluntary association d). Limited liability

27. Assertion (A): The core value of Self-help emphasizes fostering independence and empowering members. Reason (R): This is achieved by ensuring all members are treated equally, regardless of their social status. [U] / [CO2]

a). A is true, but R is false b). A is false, but R is true.

c). Both A and R are true, and R is the correct explanation of A. d). Both A and R are true, and R is not the correct explanation of A.

28. How is voting power generally allocated in an Employee Credit Society? [U] / [CO3]

a). Based on amount of shares held b). Based on income level

c). Based on loan amount d). One member, one vote

29. Consider the Statements: I.Co operative credit structure in Japan is called KOH II.Hypothica Bank in Japan Provide long term loans. [U] / [CO4]

a). Both are True b). Only I is Currect

c). Both are False d). Only II is Currect

30. Match the **institution** with its main function: [An] / [CO3]

A. PMS	(i) Export/Import
B. District Society	(ii) Bulk aggregation
C. SCMF	(iii) State-level price stabilization
D. NAFED	(iv) Direct input supply

a). A-iv, B-ii, C-iii, D-i
b). A-ii, B-iv, C-i, D-iii
c). A-iii, B-i, C-iv, D-ii
d). A-i, B-iii, C-ii, D-iv

31. How do co-operative societies protect farmers from exploitation by middlemen [U] / [CO1]

a). By selling products at very high prices
b). By restricting production
c). By providing free products
d). By buying goods directly from manufacturers

32. Which of the following is a payment and remittance service provided by UCBs? [An] / [CO3]

a). Foreign stock trading
b). Cheque collection and electronic fund transfers
c). Real estate brokerage
d). Insurance underwriting

33. UCBs differ from commercial banks in that they focus more on: [U] / [CO3]

a). Corporate profits
b). Rural development
c). Community welfare and inclusive banking
d). Stock market investments

34. Trademark for goods produced by Danish co operative Societies ? [U] / [CO4]

a). Lurbrand
b). FDB
c). DAAG
d). KOH

35. Special Purpose Agricultural Marketing Societies focus on commodities like: [U] / [CO3]

a). Spices and grains
b). All consumer products
c). Non-agricultural goods
d). General services

36. Assertion (A): The main objective of co-operation is to serve the members, not to maximize profits. Reason (R): The motto of co-operation is “Service before profit.” [U] / [CO1]

a). Both A and R are true, and R is the correct explanation of A
b). Both A and R are true, but R is not the correct explanation of A
c). A is true, but R is false
d). A is false, but R is true

37. Assertion (A): The Rochdale Equitable Pioneers Society laid the groundwork for the co-operative movement in 1844. Reason (R): This initial stage was characterized by a focus on addressing immediate social and economic hardship. [U] / [CO2]

a). Both A and R are true, and R is the correct explanation of A.

b). A is true, but R is false

c). A is false, but R is true.

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38. Industrial co-operatives help the government mainly by: [U] / [CO3]

a). Promoting foreign trade

b). Generating rural employment

c). Subsidizing corporate industries

d). Increasing imports

39. Assertion (A): PACS play a major role in financial inclusion. Reason (R): They extend banking services to rural populations. [An] / [CO3]

a). Both A and R are true and R is the correct explanation of A.

b). Both A and R are true but R is not the correct explanation of A.

c). A is true, R is false.

d). A is false, R is true.

40. which of the following statements is/are correct? I,State Housing Federations are the apex bodies at state level. II.State housing federation control and guide primary housing societies. [An] / [CO3]

a). Both statements are correct

b). Both statements are wrong

c). Statement I correct, statement II is wrong

d). Statement I is wrong, statement II is correct

41. What feature of co-operatives that protects both producers and consumers [U] / [CO1]

a). Elimination of middlemen

b). Unlimited liability

c). Profit maximization

d). Private ownership

42. Statement I: The ICA's vision focuses on fostering inclusive and sustainable societies. Statement II: A key principle is "Concern for Community". [U] / [CO2]

a). Both Statement I and Statement II are true.

b). Statement I is true, but Statement II is false.

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43. Consider the following statements and choose the most appropriate alternative. Statement I – Primary Agricultural Credit Societies (PACS) are the foundation of the rural cooperative credit system in India. Statement II – PACS provide long-term loans for infrastructure development and industrial projects. [U] / [CO3]

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46. Co-operatives are called people's organizations because they: [U] / [CO1]

a). Work only for profit
b). Exclude certain classes
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47. Statement I: The Rochdale Pioneers stood as an influential force for social and political reform. Statement II: Their legacy clearly shows the power of collective action. [U] / [CO2]

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dependence on informal sources of credit. Statement II – PACS aim to increase the profit margins of multinational agribusiness companies.

a). Both statements are true

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49. Identify the incorrect statement about RMS. [An] / [CO3]

a). They act as channels for disseminating market intelligence.

b). They extend credit facilities to members.

c). They control foreign direct investment in the rubber sector.

d). They provide support in grading, drying, and packaging.

[2x25 = 50]

A

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[2x25 = 50]

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